

It is an investment tragedy of a sort to think people have owned these stocks and not reaped those gains because they were trying to time the market or trade in and out. Sometimes stocks take a long time to get going. Phelps had plenty of examples of stocks that went nowhere (or down) for years but still delivered the big 100 to 1.

“One of the basic rules of investing is never, if you can help it, take an investment action for a non-investment reason,” Phelps advised. Don’t sell just because the price moved up or down, or because you need to realize a capital gain to offset a loss. You should sell rarely, and only when it is clear you made an error. One can argue every sale is a confession of error, and the shorter the time you’ve held the stock, the greater the error in buying it — according to Phelps.

I love Mr. Phelps’s ideas. They are hard to implement, I know. But some people have. He related the experiences of individuals, former clients and old associates, who got rich by buying right and holding on. Phelps wishes he had learned these insights when he was younger.

Now, I have a little confession to make about Mr. Phelps.

I didn’t actually meet him. He’s been dead since 1992, having reached the ripe old age of 90. Every quote above comes not from a conversation, but from his book *100 to 1 in the Stock Market: A Distinguished Security Analyst Tells How to Make More of Your Investment Opportunities*, published in 1972.

In 2011, I picked up a near-mint copy for \$22. This forgotten book should be a classic. Do not let the implausibility of making 100 to 1 on your stocks distract you. The main idea is to know how such returns have happened and what investors need to do to get them. Aiming a little closer to that goal is bound to improve your results.

Phelps wrote as much: “Just a slight change in a golfer’s grip and stance may improve his game, so a little more emphasis on buying for keeps, a little more determination not to be tempted to sell ... may fatten your portfolio. In Alice in Wonderland, one had to run fast in order to stand still.

In the stock market, the evidence suggests, one who buys right must stand still in order to run fast.” It is superb advice.

I recommend the book, needless to say, which is a pleasure to read and has plenty of good ideas, analogies and stories. For a long time, the book was out of print. But in January of 2015, Echo Point Books